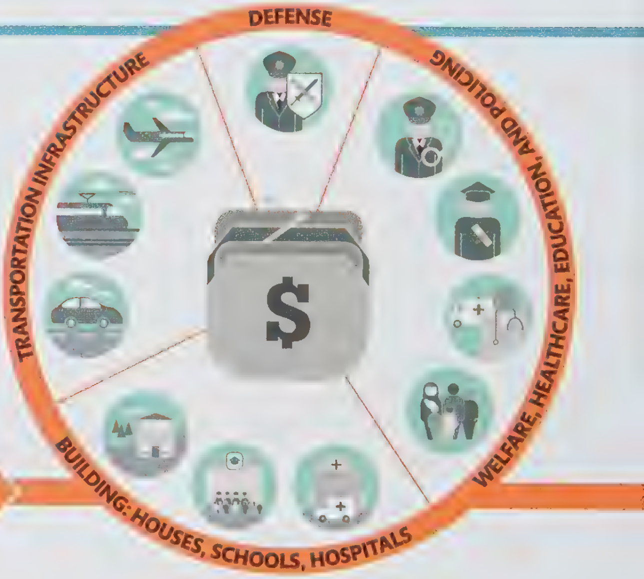
Economic theories and money

Since the birth of modern economic thought, economists have tried to work out how the quantity of money in an economy affects prices and the behavior of consumers and businesses.

Keynes' general theory of money

In his 1935 book *General Theory*, John Maynard Keynes argued that government spending and taxation levels affect prices more than the quantity of money in the economy. He proposed that in times of recession a government should increase spending to encourage employment, and reduce taxes to stimulate the economy.



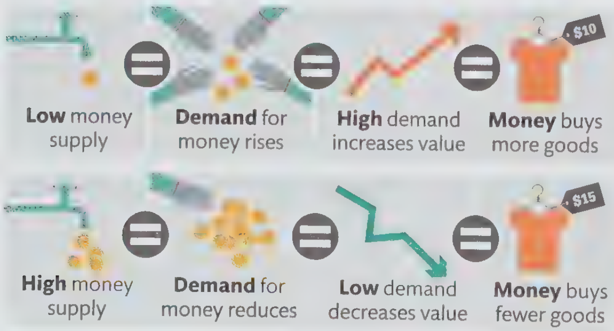
GOVERNMENT
When output is shrinking and unemployment rising, a government must decide how to react.

INVESTMENT AND SPENDING
As demand falls, firms reduce production, which raises unemployment and lowers demand.

STIMULATING DEMAND
The government increases its spending, for example on infrastructure. This reduces unemployment.

Fisher's quantity theory of money

The most common version of this theory was articulated by Irving Fisher, who argued that there is a direct link between the amount of money in the economy and price level, with more money in circulation increasing prices.



Marx's labor theory of value

The German economist Karl Marx argued that the real price (or economic value) of goods should be determined not by the demand for those goods, but by the value of the labor that went into producing it.